Fieldstone Partners Holdings, Inc. (WJE) - Form 10-K

FY2025

Fieldstone Partners Holdings, Inc.

Form 10-K for the Fiscal Year Ended 2025

Ticker: WJE | Sector: Information Technology | HQ: Texas

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Fieldstone Partners Holdings, Inc. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Introduction

Fieldstone Partners Holdings, Inc. (“Fieldstone,” “we,” “our,” or “us”) is headquartered in Texas and provides a cloud-delivered cybersecurity platform that protects endpoints, cloud workloads, and identities from cyberattacks. Our platform is built on a cloud-native architecture and uses a lightweight software agent together with cloud-based analytics to detect and respond to threats in real time.

We sell our platform primarily through subscription arrangements to organizations of a wide range of sizes across industries. For the fiscal year ended December 31, 2025, we generated revenue of $4,636.5 million.

Research and Development

The cybersecurity threat landscape evolves continuously, and our ability to compete depends on our continued investment in research and development. Research and development expense was $1,278.6 million for fiscal 2025, representing approximately 27.6% of revenue, reflecting our investment in new detection capabilities, threat intelligence, and platform infrastructure.

Human Capital

Our employees include security researchers, software engineers, threat intelligence analysts, and sales and customer support personnel, located primarily in the United States with additional personnel internationally. Competition for cybersecurity talent is intense, and we focus on compensation, equity-based incentives, and mission-driven culture to attract and retain employees.

Competition

The cybersecurity market is large, competitive, and rapidly evolving. We compete with other dedicated endpoint and cloud security vendors, with broader cybersecurity platform providers, and with point-solution vendors addressing specific threat types. We believe the principal competitive factors in our market are the efficacy of threat detection, the breadth of our platform, and the speed of response to emerging threats.

Item 1A. Risk Factors

Risks Related to Our Financial Results

We have a history of losses and may not achieve sustained profitability. We recorded an operating loss of $124.8 million for fiscal 2025, an operating margin of negative 2.7%, and a net loss of $15.6 million, a net margin of negative 0.3%. We expect to continue to make significant investments in research and development and sales and marketing, and we may continue to incur losses in future periods. These losses reflect deliberate, ongoing investment ahead of sustained profitability, consistent with our stage of growth as a subscription-based platform business, rather than a deterioration in our underlying business; however, if we are unable to grow revenue sufficiently to offset this level of investment, we may not achieve profitability on the timeline we expect.

Our research and development expenses are a substantial portion of our revenue. Research and development expense represented approximately 27.6% of revenue for fiscal 2025, and cost of revenue represented approximately 28.1% of revenue. If we are unable to generate sufficient revenue growth to support this level of investment, our operating results could be adversely affected.

Risks Related to Our Business and Customers

Our growth depends on our ability to retain existing customers and expand their usage of our platform over time. If customers do not renew their subscriptions or do not expand their usage, our revenue growth could slow.

Risks Related to Competition

We face substantial and increasing competition from other cybersecurity vendors, including large, well-capitalized platform providers. Some of our competitors have greater financial and engineering resources than we do and may be able to bundle competing capabilities with other products at lower incremental cost. If we are unable to compete effectively, our revenue and margins could be adversely affected.

Risks Related to Cybersecurity and Information Technology

As a cybersecurity company, we are an especially attractive target for sophisticated threat actors seeking to compromise our systems, our software, or our customers' environments through us. As described in Item 1C, "Cybersecurity," we have not experienced a material cybersecurity incident to date, but a future incident affecting our platform, our software supply chain, or our third-party service providers could disrupt our business, harm our reputation with security-conscious customers, and result in remediation costs or litigation.

Risks Related to Our Financial Position

Our indebtedness could limit our operating and financial flexibility. We had long-term debt of $743.0 million as of December 31, 2025. Our level of indebtedness could limit our ability to obtain additional financing and make us more vulnerable to adverse changes in interest rates.

General Risk Factors

Our quarterly and annual operating results may fluctuate due to factors including the timing of large customer commitments, changes in usage patterns by existing customers, and the timing of our own investments in research and development and sales capacity, which could cause our results to vary from period to period.

Item 1C. Cybersecurity

Program

We maintain a cybersecurity risk management program designed to identify, assess, and manage risks from cybersecurity threats to our platform, our software supply chain, and our corporate systems. Our program is informed by the NIST Cybersecurity Framework and ISO/IEC 27001, and because we are ourselves a cybersecurity company, we hold our own practices to a standard consistent with what we ask of our customers.

Our program includes continuous monitoring of our production and development environments, regular vulnerability scanning and penetration testing, rigorous software supply-chain security controls, employee security-awareness training, and a formal incident response plan that establishes procedures for identifying, containing, and remediating cybersecurity incidents. We also maintain cybersecurity insurance that may offset a portion of the costs associated with certain incidents.

Risks

We have not experienced a material cybersecurity incident to date. However, as a cybersecurity company, we and the software we distribute to customers are particularly attractive targets for sophisticated threat actors, and a future incident affecting our platform, our software supply chain, or our third-party service providers could disrupt our business, harm our reputation with security-conscious customers, and result in remediation costs or litigation. See Item 1A, “Risk Factors,” for additional discussion of cybersecurity-related risks.

Governance

Our full Board of Directors, with support from the Audit Committee, oversees our cybersecurity risk management program. Management provides the Board and the Audit Committee with periodic updates on our cybersecurity program, including the results of risk assessments, the status of our software supply-chain security controls, and the threat landscape we face.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Fieldstone Partners Holdings, Inc. provides a cloud-delivered cybersecurity platform. For the fiscal year ended December 31, 2025, we generated revenue of $4,636.5 million and recorded an operating loss of $124.8 million, an operating margin of negative 2.7%. We recorded a net loss of $15.6 million, a net margin of negative 0.3%, after recognizing a net income tax benefit during the year. Our operating and net losses for the year reflect ongoing investment in research and development and sales and marketing ahead of sustained profitability, consistent with our stage of growth as a subscription-based cybersecurity platform, rather than a deterioration in our underlying business.

Results of Operations

The following table summarizes our results of operations for the fiscal year ended December 31, 2025 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Revenue	$4,636.5	100.0%
Cost of revenue	1,301.9	28.1%
Research and development	1,278.6	27.6%
Other operating expenses, net	2,180.7	47.0%
Operating loss	(124.8)	(2.7)%
Interest expense	0.0	0.0%
Pretax loss	(124.8)	(2.7)%
Income tax benefit	(109.2)	(2.4)%
Net loss	(15.6)	(0.3)%

Our cost of revenue and research and development expense together represented approximately 55.7% of revenue for the year. We recognized a net income tax benefit of $109.2 million during fiscal 2025, which substantially offset our pretax loss, resulting in a net loss of only $15.6 million.

Liquidity and Capital Resources

We generated $1,660.5 million of cash from operating activities during fiscal 2025, reflecting a net loss of $15.6 million more than offset by a favorable change in working capital of $1,676.1 million, consistent with our subscription-based revenue model under which customers are frequently billed in advance. We used $562.8 million of cash in investing activities, including capital expenditures of $328.9 million. Financing activities provided $111.7 million of cash. Taken together, our cash and cash equivalents increased by $1,209.3 million during the year.

As of December 31, 2025, we had stockholders' equity of $3,894.6 million and long-term debt of $743.0 million. Cash and cash equivalents represented approximately 46.4% of our total assets at year end. We believe our existing cash, together with cash generated from operations, will be sufficient to fund our operating needs for at least the next twelve months.

Critical Accounting Estimates

Revenue Recognition. We recognize revenue from subscription arrangements over the contract term. Determining the amount and timing of revenue to recognize requires judgment regarding the identification of performance obligations and the allocation of the transaction price among them.

Goodwill and Intangible Assets. Goodwill and intangible assets, net, together represented approximately 12.3% of our total assets as of December 31, 2025. We test goodwill for impairment at least annually.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Fieldstone Partners Holdings, Inc. for the fiscal year ended December 31, 2025. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$4,117.6
Accounts receivable, net	980.5
Property, plant and equipment, net	870.5
Goodwill	970.1
Intangible assets, net	126.2
Other assets	1,817.7
Total assets	$8,882.6

Liabilities

Line item	Amount
Accounts payable	$143.3
Accrued liabilities	198.4
Long-term debt	743.0
Other liabilities	3,903.4
Total liabilities	$4,988.0

Stockholders' Equity

Line item	Amount
Additional paid-in capital	$3,839.1
Accumulated deficit	(998.1)
Accumulated other comprehensive loss	(10.9)
Other equity	1,064.5
Total stockholders' equity	$3,894.6

Line item	Amount
Total liabilities and stockholders' equity	$8,882.6

Consolidated Statement of Income (in millions)

Line item	Amount
Revenue	$4,636.5
Cost of revenue	1,301.9
Research and development	1,278.6

Line item	Amount
Other operating expenses, net	2,180.7
Operating loss	(124.8)
Interest expense	0.0
Pretax loss	(124.8)
Income tax benefit	(109.2)
Net loss	$(15.6)

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net loss	$(15.6)
Depreciation and amortization	0.0
Changes in working capital and other	1,676.1
Cash from operating activities	1,660.5

Investing activities:

Line item	Amount
Capital expenditures	(328.9)
Other investing activities	(234.0)
Cash used in investing activities	(562.8)

Financing activities:

Line item	Amount
Other financing activities	111.7
Cash from financing activities	111.7

Line item	Amount
Net increase in cash	$1,209.3

Notes to Consolidated Financial Statements

Note 1. Goodwill and Intangible Assets Goodwill and intangible assets, net, totaled $970.1 million and $126.2 million, respectively, as of December 31, 2025, together representing approximately 12.3% of total assets. We test goodwill for impairment at least annually; no impairment was recognized during fiscal 2025.

Note 2. Debt Long-term debt outstanding totaled $743.0 million as of December 31, 2025.

Note 3. Income Taxes We recognized a net income tax benefit of $109.2 million for fiscal 2025, which substantially offset our pretax loss, resulting in a net loss of $15.6 million for the year.

Note 4. Commitments and Contingencies We are subject to various claims and legal proceedings arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.